

Traders in \$7 Trillion Market Turn to Obscure Option to CPI Data



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✦ Takeaways by Bloomberg AI

- Traders are grappling with the scenario of having to price securities tied to US inflation without any consumer price data due to the US government shutdown.
- The shutdown is leading investors to explore untested fallback mechanisms embedded into inflation-linked bond and derivative legal documentation as an alternative to the missing data.
- The discrepancy in the fallbacks for different types of inflation-linked securities is opening up a potentially fascinating divergence and creating relative value opportunities for investors.

Traders in a \$7 trillion market are grappling with the unprecedented scenario of having to price securities tied to US inflation without any consumer price data.

With the US government shut since the beginning of the month the data void is likely to be prolonged, especially after the White House said the US probably won't release inflation data for October. That's leading investors to explore untested fallback mechanisms embedded into inflation-linked bond and derivative legal documentation decades ago as an alternative.

These contingency plans reflected a tail risk that until recently was hard to imagine given the systemic importance of US economic data. The nation's consumer price rises are embedded into a range of financial contracts, while the release each month jolts global markets and influences Federal Reserve monetary policy.

Complicating matters, not all inflation-linked securities use the same fallbacks. The methodology for the \$2 trillion Treasury inflation-protected securities (TIPS) differs from those used in the \$5 trillion market for inflation swaps, which are used by investors and companies to hedge against price increases.

That's already leading to the outperformance of a TIPS maturing in January on the prospect of a greater payout. The longer this shutdown persists, the greater the distortion of a market used by investors to protect against price increases and policymakers to gauge inflation expectations.

"The discrepancy in the fallbacks opens up a potentially fascinating divergence," said Jon Hill, head of US inflation strategy at Barclays. "This is certainly a space for the inflation market to watch as the shutdown drags on and an example of relative value opportunities that may emerge."

The fallback methodology for TIPS is defined by the US Treasury. If there's no October data, then the Treasury will announce a synthetic number "based on the last available twelve-month change in the CPI," which is between Sept. 2024 and Sept. 2025.

For zero-coupon inflation swaps, standard contracts use International Swaps and Derivatives Association documentation. If the derivative is not linked to a specific bond, ISDA's fallback calculation would take the October 2024 figure and grow it by the September 2025 year-on-year change.

The current government shutdown, now the second-longest in US history, is threatening to exacerbate these distortions as investors continue to fly blind. While the Bureau of Labor Statistics was directed to recall some staff to prepare the September CPI report in a rare exception, all active data collection activities have been paused, derailing plans for the October figures and possibly beyond.

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The potential use of fallbacks has particular implications for TIPS coupon and principal payments scheduled in January. Under Treasury rules, the

amount that investors receive on Jan. 15 of any year is interpolated from October and November CPI values.

However, depending on the methodologies used, the results would be different. For October, the TIPS fallback would produce an index reading of 325.604, greater than the swaps fallback of 325.174, according to Bloomberg calculations. If the November reading is also unavailable, the divergence widens to 326.411 for TIPS and 324.998 for swaps.

The TIPS note maturing in January would have an annualized breakeven rate of 3.15% compared to 1.76% for the comparable derivative, according to Barclays calculations based on there being no October or November CPI data.

“This is a massive wedge between the TIPS breakeven and the matched-maturity CPI swap,” said Barclays’ Hill.

The TIPS maturing in January is already richening on a relative basis to reflect the potential use of the October fallback, according to JPMorgan Chase and Co. strategists led by Jay Barry. That could extend further if the November CPI data is also unlikely to be released.

“In the scenario that the shutdown extends beyond another few weeks, which appears increasingly likely, these securities could richen further,” the JPMorgan strategists said.

– *With assistance from Elizabeth Stanton*



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